Dear

Group Kanokphan,

HONORED TO HAVE YOU IN

EXCLUSIVE POLICY SEMINAR

Let's deepen the remarkable policies shaping our world today and draw its valuable lessons

Oct. 28th, 2024

PRESENTED BY

DEK BECON PODCAST X THE STANDARD WEALTH

FISCAL POLICY
THE EUROPEAN GREEN DEAL

EUROPEAN PARLIAMENT

OVERVIEW OF POLICY

"The ***European Green Deal*** *is a transformative initiative aimed at making Europe the first climate-neutral continent by 2050, with bold targets and substantial investments in sustainable energy and infrastructure."*

EMISSION REDUCTION BY 2023
Target of 55% emission reduction by 2030.

CBAM: EU'S TOOL
Carbon Border Adjustment Mechanism to prevent carbon leakage.

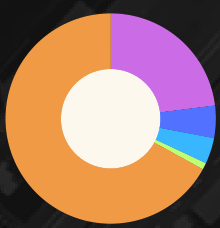
GREEN INVESTMENT
€1 trillion investment in renewable energy and green infrastructure.

IMPACT INDUSTRIES, ENERGY AND AGRICULTURE
Carbon Border Adjustment Mechanism to prevent carbon leakage.

"The Green Deal is more than just a policy—it's a roadmap for a ***greener, more sustainable future****."*

KEY HIGHLIGHTS OF EU GREEN DEAL

EU CBAM's Targeted Industries: The Five Initiatives Targeted Heavy Industries



90% are Iron & Steel and Aluminum

Ex. Common Product

Iron and Steel: *heavy-duty applications*

Aluminum: *transportation, packaging, electronics.*

KEY STEPS FOR COMPANY PREPAREDNESS

- Cut Emission
- Shift to Renewable Energy
- Embrace Circular Economy
- Safeguard Biodiversity in Supply Chains
- Prepare for Carbon Costs

MONETARY POLICY
BRAZIL'S POLICY RESPONSE TO COVID 19

"Central bankers led by **Roberto Campos Neto** are expected to hold borrowing costs costs at 13.75% for the sixth straight meeting this week".

Luiz Inacio Lula da Silva
Brazil President

GOAL: Keep inflation within a target range of around 4.5% to **maintain price stability and build investor confidence** in Brazil's economy.

MISSION: Secure economic stability by preemptively controlling inflation, which has been pressured by unique domestic challenges, including droughts and resource constraints.

ECONOMIC IMPACT

Positive Effect

- Inflation Control
- Increased Investor Confidence
- Currency Strengthening
- Economic Resilience

Negative Effect

- Impact SMEs
- Reduced Borrowing and Consumption
- Short-Term Economic Slowdown
- Sector-Specific Challenges

RESULTS OF BRAZIL'S PROACTIVE POLICY

Effective Inflation Control
Brazil's proactive interest rate adjustments helped **reduce core inflation from a peak of around 14% in 2016 to below 4% by 2020**. This highlights the effectiveness of Brazil's strategy in controlling inflation amidst domestic economic pressures.

Stable Economic Performance
Despite tight monetary policy, **Brazil maintained relatively steady GDP growth**. While global economic conditions were volatile, Brazil's GDP growth stayed above negative levels, showing resilience through calculated rate increases.

"While Brazil's move to raise interest rates might have seemed risky at first glance, it is actually a ***well-thought-out strategy aimed at maintaining long-term economic stability****. This could serve as a model for countries facing similar pressures and challenges."*

Dear

Assoc. Prof. Siwapong Dheera-aumpon,

HONORED TO HAVE YOU IN

EXCLUSIVE POLICY SEMINAR

Let's deepen the remarkable policies shaping our world today and draw its valuable lessons

Oct. 28th, 2024

PRESENTED BY

DEK BECON PODCAST X THE STANDARD WEALTH

FISCAL POLICY
THE EUROPEAN GREEN DEAL

DEFINITION OF CBAM

- **CBAM (Carbon Border Adjustment Mechanism)** is a mechanism to adjust carbon pricing at the borders of the European Union (EU)
- It sets prices for goods imported from other countries to prevent carbon leakage from products imported into EU member states.
- It will start to be implemented in 2026, initially focusing on groups with a high risk of carbon leakage from production.

CBAM ARE INITIALLY IMPLEMENTING TO FIVE KEY INDUSTRIES.

Imported Products that must comply with CBAM

Iron and Steel
Cement
Fertilizers
Aluminium
Electricity

EU Parliament plan to expanding proposal to addition imports*

Organic Basic Chemicals
Hydrogen
Ammonia
Polymers
Products From Oil Refining

Preparation for Importers

Authorization
Apply for CBAM authorization before the 2026 deadline.

Emissions Reporting
Ensure readiness to submit evidence of carbon fee payments and acquire CBAM certificates.

Adapt to Changes
Monitor potential expansion to additional industries and changes to emissions calculation methods.

CBAM'S PROTOCOL IMPACTS EVERY SECTORAL INDUSTRY.

Fines
Penalties from EUR 10 to EUR 50 per tonne of unreported emissions, which could heavily strain SMEs financially.

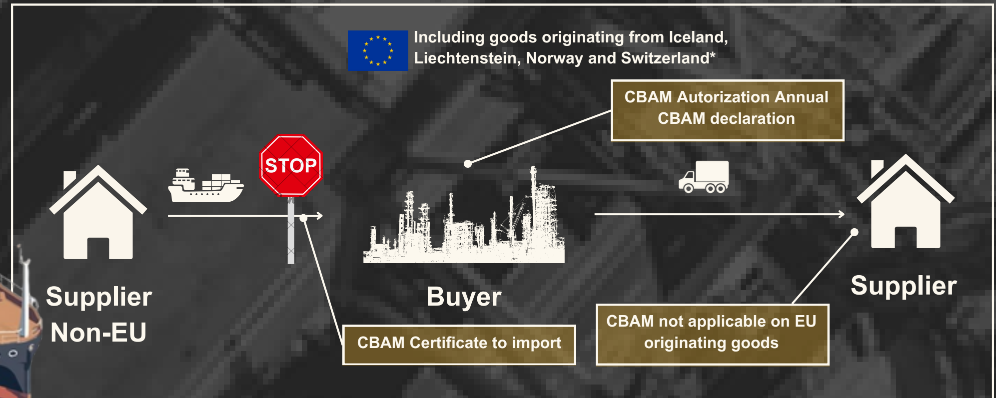
Import Restrictions
Non-compliance can result in **revoked or suspended import licenses**, cutting off access to the EU market and causing significant revenue losses.

Increased Scrutiny
Non-compliant companies may face **more frequent audits and reporting demands**, increasing administrative burdens.

Legal Action
Ongoing violations could lead to costly legal proceedings and enforced compliance measures.

Reputation and Competitive Impact
Non-compliance can damage reputation and put a company at a disadvantage compared to compliant competitors in the increasingly carbon-conscious market.

PROTOCOL INSPECTION WORK PROCEDURES



CBAM PROCEDURES

Suppliers Required to Comply with CBAM

Border Check

At the EU border, importers(buyers) must ensure their goods meet CBAM requirements.

Noted: Importers must obtain CBAM authorization and submit an annual declaration detailing the carbon emissions of the imported goods.

Buyer's Role

Once the goods pass the CBAM checks, the EU buyer can receive and utilize them.

Suppliers Exempt from CBAM

Goods originating from the EU and specific non-EU countries (Iceland, Liechtenstein, Norway, Switzerland) are exempt from CBAM requirements.

CRITICISMS TOWARD EFFECTIVENESS OF CBAM

International Criticism
Many have raised concerns about potential **unfair discrimination against their products**, particularly in sectors like plastics and pulp exports. There are also challenges in tracking carbon content in complex supply chains, such as those for consumer goods.

Implementation Challenges
CBAM's success relies on ensuring compliance with World Trade Organization (WTO) standards.

WTO is the international organization dealing with the rules of trade between nations

MONETARY POLICY

BRAZIL'S POLICY RESPONSE TO COVID 19

ECONOMIC IMPACT AND OUTCOMES

Inflation Control
Rates peaked to curb inflation from nearly 10% in 2021, with targets set to 3.5% by 2023.

GDP and Economic Growth
Brazil's GDP growth slowed from 4.6% in 2021 to a projected 1.2% in 2023.

Currency Stabilization
Brazilian real strengthened, reducing import-related inflation.

Public Debt
Stands at 88.7% of GDP in 2022, with slower fiscal deficits due to managed interest payments.

KEY LESSONS

Tailored Policy: Adapting to Unique Economic Challenges
Countries with unique inflation triggers—such as environmental impacts or sector-specific issues—might benefit from customized policies rather than aligning with broader global trends.

Long-term Focus: Embracing Short-term Sacrifices for Stability
For emerging economies facing inflation risks, focusing on stability—even if it requires immediate sacrifices in growth—can set a stronger foundation for sustained, healthier growth in the long term.

Proactive Action: The Power of Early Intervention in Crisis Management
Early intervention can be a powerful tool for central banks. Taking action before inflation becomes entrenched allows for smoother economic adjustments and reduces the need for extreme corrective measures later on.

VALUABLE LESSONS FOR OTHER COUNTRIES: Brazil's Approach in Monetary Policy Post-Pandemic

Luiz Inacio Lula Da Silva
Brazil President

GOAL: Keep inflation within a target range of around 4.5% to **maintain price stability and build investor confidence** in Brazil's economy.

MISSION: Secure economic stability by preemptively controlling inflation, which has been pressured by unique domestic challenges, including droughts and resource constraints.

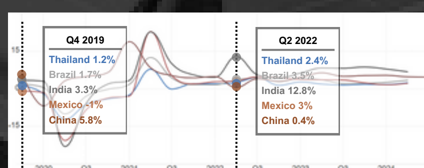
Why Brazil Chose to Raise Interest Rate

"Brazil faces unique domestic challenges that were driving inflation, such as droughts, fires and rising food prices."

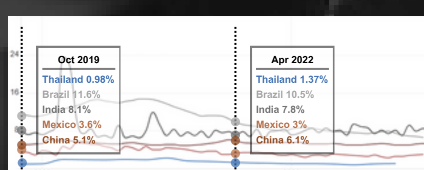
COMPARISON OF BRAZIL WITH OTHER EMERGING MARKETS

Inflation Rate
Brazil's inflation rates were initially higher than those in other emerging markets, such as Mexico, India, China and Thailand, requiring more aggressive rate hikes.

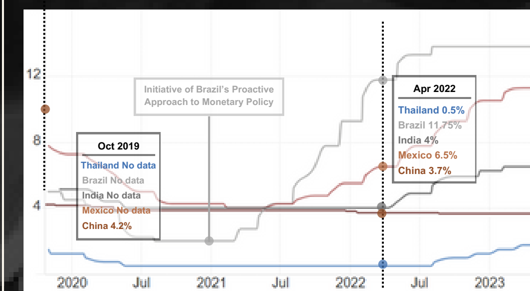
GDP Annual Growth Rate
Brazil demonstrated relatively strong GDP growth among these countries, reaching 3.5% in Q2 2022. While this growth rate is not as high as India's, it is solid compared to China and Thailand, which struggled with lower growth rates.



Unemployment Rate
Although Brazil's is still high compared to other countries, the curve is decreasing gradually as economic growing.



Interest Rate
Brazil's curve indicates a strategy of rapid and proactive rate increases starting in mid-2021 to address inflationary pressures, aiming to stabilize the economy amid global uncertainties.

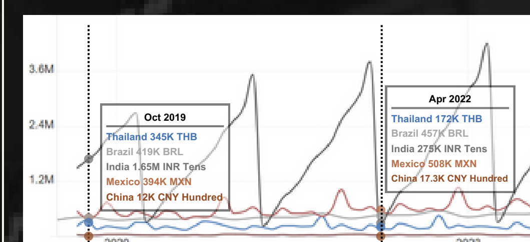


Fiscal Expenditure (Unit: Millions)
Brazil provided more relief and fiscal stimulus in among of top-three countries on the chart, helping to mitigate economic downturns despite fiscal pressures.

Convert the expenditure to USD

Oct 2019
- Thailand: 10K USD
- Brazil: 70K USD
- India: 20K USD **Tens**
- Mexico: 20K US
- China: 1.5K MXN **Hundred**

Apr 2022
- Thailand: 5K USD
- Brazil: 80K USD
- India: 3K USD **Tens**
- Mexico: 25K US
- China: 2.5K MXN **Hundred**



KEY ACTIONS AND POLICIES

1. Interest Rate Hikes
- Brazil's Central Bank **raised the Selic rate** significantly **over two years, from a low 2% to 13.75%**.
- Make **less spending** in the economy

Less Consumer Spending
Investment Slowdown
Currency Strengthening

2. Quantitative Tightening Approach
Brazil's Central Bank **stops buying (or even sells) bonds**, which **reduces the money supply and tightens financial conditions**.

Decrease Brazillian Currency Circulation
A stronger real made it more expensive to purchase Brazilian assets.

Positive Effect On Imports and Inflation
A stronger real helped bring down the cost of imports, which was significant because imported goods had been driving up inflation (due to higher global prices and a previously weaker currency).